

CASE STUDY / VERTICAL SAAS & EMBEDDED PAYMENTS

Turning a Retention Discount into a Premium Outcome

The sell-side of a founder-led vertical SaaS platform with embedded payments — where rebuilt SaaS metrics and a positioned payments story turned a retention weakness into a premium, all-cash exit that kept the team.

SECTOR Vertical SaaS & Embedded Payments	TRANSACTION Sell-Side Platform Sale	HEADLINE RESULT 3× ARR · 12× EBITDA	BUYER Operator-led software acquirer (all-cash)
--	---	---	---

THE SITUATION

A SaaS story the books didn't tell.

A founder-led vertical SaaS platform — an operating system for its industry — had built embedded fintech alongside its core software, processing integrated payments for a base of monthly and annual subscribers.

But the company kept cash-basis books and reported no SaaS metrics. The performance that drives a software valuation — ARR, retention, deferred revenue — simply wasn't visible in the financials a buyer would see.

VALUATION

Why the ARR multiple wasn't the whole story.

The Expectation

The founders' value expectations came from rule-of-thumb ARR multiples — the number everyone in SaaS starts with.

The Hidden Discount

Mid-tier retention would draw a discount most founders never see coming. We identified it early and owned it — framed on the seller's terms, not uncovered by buyers in diligence.

Rebuilding the Revenue Picture

From the customer database we rebuilt ARR, retention, and deferred revenue, bridged to the cash-basis books — the credible SaaS metrics a buyer needs to underwrite. Deferred revenue was quantified up front, avoiding a late price fight.

The Payments Offset

Payments attach and processing volume were positioned as the counterweight to retention. Embedded fintech turned a typical SaaS profile into a more valuable one.

PROCESS & BUYER SELECTION

The best offer isn't only the highest number.

A Broad, Disciplined Process

We contacted more than 200 buyers, drew multiple IOIs, and brought the process to four LOIs.

The Right Owner, Not Just the Top Bid

A PE-backed strategic made a credible offer — but most of the team would not be kept. We brought an operator-led software acquirer offering higher value and continuity.

Certainty of Close

The winning bid was modestly above the rest and all-cash, with no financing contingency — which mattered as much as the headline price.

THE OUTCOME

A premium exit — and the team intact.

3× ARR

A strong revenue multiple at close, despite a known mid-tier retention weakness.

12× EBITDA

The earnings multiple the embedded-payments story helped unlock.

All-Cash

No financing contingency — certainty of close, not just a headline number.

Team Kept

The operator-led buyer retained the team; the founder continued in a CTO role.

The buyer was also moving to a new payments provider; we managed the processing-contract considerations through close without disrupting value — and, unlike the strategic's offer, the people were kept.

“Your ARR multiple depends on your retention — and we tell you that before a buyer does. We rebuilt this company's SaaS metrics from the customer database, positioned embedded payments as the counterweight, and chose the owner who offered both a premium and continuity for the team. Certainty of close and what happens to your people count as much as the headline number.”

Madfarm Advisors · Sell-side advisor